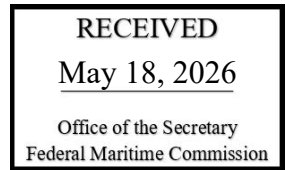


BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-06



SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

WAN HAI LINES, LTD.

RESPONDENT.

VERIFIED COMPLAINT

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, files this Verified Complaint against Respondent Wan Hai Lines, Ltd. (“Respondent” or “Wan Hai”) to seek reparation for injuries to SEA caused by Respondent’s violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant SEA is a corporation organized and existing under the laws of the State of New York, with a principal place of business at 700 Sylvan Avenue, Englewood Cliffs, New Jersey, 07632.

2. The names and addresses of the attorneys representing Complainant are Chrispher R. Nolan (31 West 52nd Street, New York, NY 10019), Gerald A. Morrissey III and Michael T. Amy (800 17th Street N.W., Suite 1100, Washington, D.C., 20006).

II. RESPONDENT

3. Respondent Wan Hai, upon information and belief, is a company existing under the laws of Taiwan with its principal place of business at 10th Floor, No. 136, Sung Chiang Road, Taipei 104528, Taiwan, acting in the United States through its agent, Wan Hai Lines (USA) Ltd., an entity organized under the laws of the State of California, with a principal place of business at 17200 North Perimeter Drive, Suite 200, Scottsdale, Arizona 85255.

4. Wan Hai is and was at all times pertinent to this Complaint a “common carrier” within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

III. JURISDICTION

5. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984.

6. This Complaint is being filed pursuant to 46 U.S.C. § 41301 of the Shipping Act. SEA is seeking reparations for injuries caused to it by Wan Hai due to its violations of 46 U.S.C. § 41102(c).

7. The FMC has personal jurisdiction over Wan Hai as a “common carrier” as defined in 46 U.S.C. § 40102(7).

8. Respondent’s actions alleged herein constitute failures by Wan Hai to establish, observe, and enforce just and reasonable practices relating to receiving,

handling, storing, and delivering the property of SEA, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5.

IV. PRELIMINARY STATEMENT

9. SEA, a pioneering electronic products company incorporated in the United States in 1978, offers home appliances, phones, tablets, smartwatches, mobile accessories, mobile audio, televisions, monitors, and computer products to the American public. The American public relies on SEA goods for its everyday personal and business needs.

10. In order to meet the needs of the American public, SEA has relied on transportation companies like Wan Hai to carry its goods to inland destinations throughout the United States.

11. Part of the appeal of working with an experienced transportation company like Wan Hai is its offering of a full range of services, from arrangements overseas to the final destination at SEA distribution centers and customers inland, otherwise known as inland transportation or “store door” delivery. Under store door delivery, the ocean carrier issues a bill of lading or sea waybill indicating the overseas marine port at which a container is loaded on a vessel and an inland “place of delivery” to which the ocean carrier undertakes to transport the container after the container is discharged from the vessel at a marine port.

12. Wan Hai markets its full range of services to companies like SEA in personal meetings, at conferences, and publicly on its website.

13. SEA was the consignee of cargoes of home goods shipped to the U.S. in ocean shipping containers (“SEA Containers”) by Wan Hai.

14. Wan Hai transported SEA Containers under through bills of lading, or sea waybills, from the overseas locations through marine ports and on to designated inland locations in the U.S. (commonly known as “store door” delivery).

15. Under through bills of lading and sea waybills, Wan Hai is responsible as the common carrier for both (1) the ocean carriage of the SEA Containers to a marine port, and (2) the inland carriage of the SEA Containers to the U.S. inland locations, generally SEA warehouses or directly to SEA customer locations.

16. For “store door” transportation, the inland movement of containers is commonly referred to as “carrier haulage” because the ocean carrier is responsible for the inland movement of the SEA Containers via rail and/or truck drayage to the named place of delivery.

17. In contrast to carrier haulage, under “port-to-port” or “CY” (container yard) delivery, the inland movement of containers is commonly referred to as “merchant haulage” because the shipper or consignee is responsible for the inland movement from the port to the final inland destination.

18. In store door shipments, Wan Hai is responsible for arranging and paying for the inland movements, including provision of inland railroads, truckers, and chassis, and for ensuring the timely removal of containers from marine and intermodal terminals and the delivery of containers to the designated inland locations.

19. In store door shipments, costs and charges relating to delays in the timely removal of containers from terminals (generally known as “demurrage” charges) should be borne by Wan Hai, not a consignee like SEA.

20. In store door shipments, costs and charges relating to delays in the timely delivery of containers to the designated inland locations and ultimately the return of empty containers (and chassis) to Wan Hai's possession or control at Wan Hai's designated return locations (generally known as "detention" or "per diem" charges) should be borne by Wan Hai, not the shipper or consignee, when the delays result from matters for which (1) Wan Hai is responsible (e.g., delays in equipment return caused by ocean carrier empty return restrictions or limitations), and/or (2) Wan Hai bears the responsibility for the underlying transportation delays (e.g., delays in equipment return caused by problems performing inland drayage services, such as subcontracting adequate trucking, and/or availability of chassis).

21. Since 2021, SEA has been invoiced and paid substantial amounts of demurrage and detention charges and other drayage-related charges in connection with Wan Hai's store door transportation of SEA Containers.

22. Beginning in approximately 2021, Wan Hai began repeatedly failing to properly perform its obligations for inland transportation to the inland destinations. For example, in September 2021, SEA was required to pay demurrage charges on multiple occasions on containers moved by Wan Hai at Long Beach terminals. Movement of containers out of the terminals before the last free day was delayed due to chassis shortages and heavy terminal congestion.

23. Although SEA was not responsible for these delays, Wan Hai nevertheless caused SEA to be charged demurrage and required that SEA pay such charges before Wan Hai would continue to provide the inland transportation.

24. Aware of challenges with intermodal transportation logistics, after 2021 Wan Hai continued accepting transportation of SEA goods for store door delivery under through bills of lading or sea waybills for inland delivery in the U.S. and continued to repeatedly fail to properly perform its inland transportation obligations, exposing SEA to unreasonable costs, charges, delays, and other harms.

25. When asked to explain the reason for assessing the charges on SEA, Wan Hai proffered various excuses relating to alleged chassis shortages, trucker shortages, inclement weather, and port and terminal congestion matters, which were neither within the control of SEA nor the responsibility of SEA.

26. When asked to mitigate, cancel, or waive charges where SEA was not responsible for the cause of the delays, Wan Hai refused to mitigate, cancel, or waive all of the unreasonable charges.

27. As a consequence of Wan Hai's unreasonable practices, SEA was forced to pay excessive and unlawful charges and has been forced to undertake and perform components of the ocean carrier's inland transportation responsibilities in order to continue to import its products sold to American consumers.

28. The FMC has long raised concerns with a host of unjust and unreasonable demurrage and detention practices, and the FMC is advancing efforts to promote complaints and adjudicate wrongdoing, as the full scope of the unlawful practices concerning demurrage and detention during the Covid-19 pandemic becomes known.

29. As a result of Wan Hai's conduct, SEA has sustained serious and substantial injuries and monetary damages, including paying erroneous demurrage and

detention charges, which continue to be tabulated and accrued as of the filing of this Complaint.

30. Wan Hai failed to establish, observe, and enforce just and reasonable practices related to store-door inland transportation and charges, including but not limited to maintaining the following specific unjust and unreasonable practices:

- a. Wan Hai improperly and systematically required that SEA undertake direct payment responsibility for demurrage and/or detention charges as a condition to release cargo from intermodal terminals for further movement to the inland destinations, and without taking adequate steps to address increasing delays, costing SEA not only the direct costs of paying such charges, but also causing SEA to incur significant and substantial costs for employees and systems to undertake responsibility for Wan Hai's inland transportation obligations;
- b. Wan Hai's invoices routinely lacked adequate information to determine the basis for the individual demurrage and detention charges;
- c. Based on information and belief, Wan Hai systematically assessed charges against SEA Containers without consideration of Wan Hai's responsibility (or SEA's absence of responsibility) for the circumstances resulting in such demurrage and detention charges; and
- d. Wan Hai failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges.

31. Wan Hai's conduct also resulted in container processing and handling delays at SEA warehouses and client delivery locations, as well as delays in container and equipment returns, resulting in further detention charges and injuries.

32. Based on information and belief, as a result of Wan Hai's unjust and unreasonable practices and other unlawful conduct, SEA was repeatedly charged detention and/or per diem in connection with empty containers and chassis when Wan

Hai failed to provide reasonable opportunity to return such equipment without incurring additional charges, including inadequate availability of return locations, and inadequate and/or inaccurate information concerning return locations.

33. On November 28, 2022, SEA sent a Notice of Demand for Action letter (“Demand Letter”) to Wan Hai regarding unreasonable and unlawful charges for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct. The Demand Letter invited Wan Hai to respond in a substantive manner, and asked that Wan Hai indicate its interest in discussing cooperative resolution.

34. SEA has met with Wan Hai personnel on multiple occasions and has provided Wan Hai with information and data regarding the claimed amounts, but Wan Hai and SEA were not able to resolve the dispute.

35. SEA is not alone in suffering from Wan Hai’s unreasonable conduct. Indeed, the legality of Wan Hai’s detention and demurrage practices was called into question by the FMC in December 2021 in *Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. Possible Violations of 46 U.S.C. § 41102(C)*, Dkt. No. 21-16. There, the FMC issued an Order of Investigation and Hearing to determine whether Wan Hai violated § 41102(c) of the Shipping Act regarding Wan Hai’s charges relating to empty container returns. The FMC alleged that during the spring of 2021, Wan Hai unreasonably charged detention ranging from \$125.00 to \$1,550.00 per container on at least 21 occasions on dates when Wan Hai offered no return locations, the designated terminal was not accepting the containers’ chassis, or appointments were unavailable for the subject containers. See Order of Investigation and Hearing, Dkt. 1 at ¶¶ 4-9 (Dec. 30, 2021). In March 2023, Wan Hai settled the matter for \$950,000 and agreed to refund the 21 detention charges

referenced in the Order of Investigation. See Initial Decision Approving Remand Settlement Agreement, Dkt. 39 (ALJ Mar. 13, 2023); see also Press Release, Federal Maritime Commission, Two Shipping Lines Pay Civil Penalties Totaling \$2.65 Million (May 18, 2023), <https://www.fmc.gov/articles/two-shipping-lines-pay-civil-penalties-totaling-2-65-million/#:~:text=%E2%80%9CThe%20agreements%20being%20announced%20today,revenue%20when%20assessing%20civil%20penalties.> In addition, Wan Hai agreed to comply with the Interpretive Rule, 46 C.F.R. § 545.5(c)(1) for all shipments within the FMC's jurisdiction and cease and desist from further violations. Wan Hai also recognized that its failure to comply with the cease-and-desist order may result in much higher penalties being demanded by the FMC. See Initial Decision Approving Remand Settlement Agreement, at 7. The multiple violations by Wan Hai reflect a practice of engaging in unjust and unreasonable conduct around demurrage and detention.

36. As a result of Wan Hai's wrongful conduct, SEA incurred serious and substantial injuries and monetary damages, including paying improper charges for demurrage and detention, with charges continuing to be tabulated and accrued as of the filing of this Complaint.

37. Damages to SEA caused by Wan Hai's multiple Shipping Act violations as detailed above in this Complaint for which SEA seeks reparations include:

- a. Excessive and unlawful demurrage, detention and associated charges paid in connection with Wan Hai store door shipments of SEA Containers totaling approximately \$1.2 million;
- b. Additional costs borne by SEA to perform Wan Hai's inland transportation obligations and for other mitigating actions undertaken by SEA, such as additional personnel hired to handle the increase in transportation costs on Wan Hai moves and costs of leasing off-dock container yard space;
- c. Lost revenues in an amount to be calculated; and

d. Prejudgment interest.

V. SHIPPING ACT VIOLATIONS

COUNT I -- VIOLATIONS OF 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5

Unjust and Unreasonable Charges

38. In reference to the aforementioned pled facts and recitals in paragraphs 1-37 which are incorporated herein, Complainant further alleges the following violations of the Shipping Act.

39. Wan Hai is a common carrier by water as defined by the Shipping Act. 46 U.S.C. § 41102(c) provides: “(c) Practices in handling property. A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

40. Wan Hai’s foregoing practices and procedures relating to the assessment of demurrage and detention are directly related to receiving, handling, storing, or delivering SEA’s property.

41. Wan Hai’s foregoing practices and procedures relating to the assessment of demurrage and detention have been occurring on a normal, customary, and continuous basis, involving since 2020 in excess of 550 individual demurrage charges, over 150 individual detention-type charges, and over 800 other associated charges.

42. Wan Hai’s foregoing practices and procedures relating to the assessment of demurrage and detention are unjust and unreasonable in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4.

43. The Interpretive Rule codified at 46 C.F.R. § 545.5 provides guidance on how the Commission will interpret 46 U.S.C. § 41102(c) in the context of assessing demurrage and detention charges.

44. The Incentive Principle codified at 46 C.F.R. § 545.5(c) of the Interpretive Rule provides that the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes of financial incentives to promote freight fluidity when assessing the reasonableness of such charges.

45. Wan Hai's foregoing practices and procedures related to the assessment of demurrage and detention charges are unjust and unreasonable as applied because they did not serve their intended primary purpose to incentivize freight fluidity.

46. Wan Hai's foregoing practices and procedures relating to the assessment of demurrage and detention are the proximate cause of SEA's claimed injury and damages.

COUNT II -- VIOLATIONS OF 46 U.S.C. § 41102(c)

Other Unjust and Unreasonable Practices in Connection with Inland

Transportation, Billing, and Dispute Resolution

47. Complainant repeats and realleges each and every allegation in paragraphs 1-37 above as if fully set forth herein.

48. Section 41102(c) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

49. In addition to the elements set forth in Count I, each of which is applicable here and incorporated herein, 46 U.S.C. § 41102(c) applies equally to other practices,

including cargo releases, invoicing, and dispute resolution practices, policies and procedures (or lack thereof) in connection with assessment, collection, and dispute resolution of charges relating to or connected with receiving, handling, storing, or delivering property.

50. Wan Hai's practice of invoicing demurrage and detention charges on SEA Containers without first determining which party was responsible for the delay giving rise to those charges violates 46 U.S.C. § 41102(c).

51. Wan Hai's practice of refusing to retrieve SEA Containers from terminals or refusing to carry out other store-door inland transportation unless and until SEA agreed to arrange direct payment to Wan Hai and/or its subcontractors violates 46 U.S.C. § 41102(c).

52. Wan Hai's dispute resolution practices (or lack thereof), including, but not limited to, Respondent's failures to meaningfully engage in commitments to address disputed charges beyond those paid directly to it, and Respondent's apparent lack of any workable practice, policy or procedure to meaningfully evaluate disputed charges, both throughout the relevant time period of this Complaint, and between November 2022 to date, as set forth in Section IV above, constitute violations of 46 U.S.C. § 41102(c).

53. Wan Hai's foregoing unjust and unreasonable practices relating to cargo releases, invoicing, and dispute resolution were and continue to be a proximate cause of injury and damages to SEA.

VI. CAUSATION AND INJURY TO COMPLAINANT

54. As a result of Respondent's violations of the Shipping Act, Complainant has sustained serious and substantial injuries and monetary damages, including paying

erroneous and unlawful detention and demurrage charges, and other damages as alleged in paragraph 37. Wan Hai's unreasonable and unlawful conduct is continuing, and SEA continues to sustain injury and damages.

VII. ALTERNATIVE DISPUTE RESOLUTION

55. SEA has unsuccessfully attempted to resolve this matter with Respondent prior to filing this Verified Complaint. These multiple discussions and meetings, between November 2022 to date, as set forth in Section VI above, provide detailed allegations as to SEA's efforts. Considering statements made by Respondent and consequent noncooperation in resolving this matter, including those outlined specifically in this Complaint, SEA did not seek to use the FMC's alternative dispute resolution process prior to filing this Verified Complaint.

56. For the same reasons stated above, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution under the FMC's ADR program (46 C.F.R. § 502.64).

VIII. REQUEST FOR ORAL HEARING

57. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

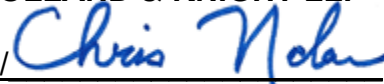
WHEREFORE, Complainant respectfully requests that Respondent be required to answer the charges in this Complaint, and that after thorough investigation that the FMC issue an Order:

1. Finding Wan Hai in violation of the Shipping Act, as alleged above;
2. Requiring Wan Hai to pay Complainant reparations as set forth above in paragraph 37, *supra*, for the unlawful conduct described above;¹
3. Requiring the payment of any other amounts that the FMC deems appropriate, including but not limited to prejudgment interest and Complainant's attorneys' fees;
4. Ordering that Respondent cease and desist from the unlawful conduct including collection by Respondent of any billed and unpaid charges arising from the unreasonable policies and practices complained of above; and
5. Providing Complainant such other and further relief that the FMC deems just and proper.

Dated: May 18, 2026

Respectfully Submitted,

HOLLAND & KNIGHT LLP

/s/ 
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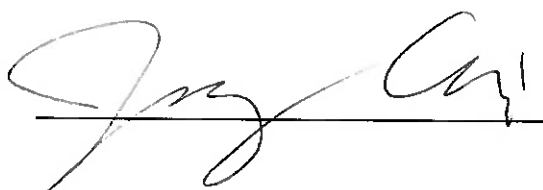
*Counsel to Complainant Samsung
Electronics America, Inc.*

¹ The Parties entered into a Tolling Agreement, effective March 11, 2024.

VERIFICATION

I, Jeung Choi, am Senior Director, Logistics of Complainant Samsung Electronics America, Inc. and hereby declare and attest under penalty of perjury that I have read the foregoing Verified Complaint in the lawsuit captioned *Samsung Electronics America, Inc. v. Wan Hai Lines, Ltd.* and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: May 18, 2026

A handwritten signature in black ink, appearing to read "Jeung Choi", is written over a horizontal line.